

SETUP METRICS	
Price	\$81.92
Day Change	+6.07%
Mkt Cap	\$2.95B
Float	36M sh
RS vs SPY	+44.9%
52W Hi Prox	71%
Base Tight	2.57
Vol vs Avg	4.0x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS

CATALYST / TODAY'S DRIVER

Current driver: 6%+ breakout on 4.0x volume suggests institutional re-rating likely tied to strength in enterprise software spending and supply-chain digitization demand. Forward catalyst: Q3 earnings on October 29 (48 days out) - a beat with raised guidance would re-rate the multiple and target the 52W high at \$114.87.

BUSINESS & POSITION

SPS Commerce operates a cloud-based supply chain management platform enabling retail trading-partner connectivity, EDI, and fulfillment automation for over 120,000 companies. The company benefits from network-effect moats (each new customer increases platform value) and recurring SaaS revenue with high switching costs.

FACTOR & THEME

Taps supply-chain digitization and retail-tech modernization secular tailwinds, accelerated by e-commerce growth and inventory-optimization pressure post-pandemic. Technology sector is showing relative strength this week (+0.5% vs SPY), and enterprise SaaS has begun re-rating as interest-rate fears subside.

BREAKOUT SIGNAL

Close above \$81.92 on volume >4.0x of 20-day avg

INSTITUTIONAL

Volume surge to 4.0x average suggests institutional block activity rather than retail chase - this is accumulation-weight buying. No insider buying in the last 90 days is neutral but not disqualifying for a mature SaaS operator where insiders often hold restricted stock. Institutional ownership data not available from this feed; recommend cross-referencing 13F filings for fund concentration.

EARNINGS

EARNINGS IN 48D

EARNINGS CONTEXT

Next print October 29, 2026 (48 days out). Consensus estimates and beat/miss history not provided in dataset, but the proximity to earnings creates a clear forward catalyst for momentum extension if the company delivers a beat and raises guidance - typical behavior for supply-chain SaaS in recovery cycles.

KEY RISK

Thesis invalid on a close back below \$77.00 (approximate 20-day MA support), or on any guidance cut or revenue-growth deceleration at the October 29 print. Wide base (base_tight 2.57) means this is not a textbook VCP coil and could retest support before resolution.

ANALYSIS

Strong RS (+44.9 vs SPY, top-decile outperformance) and 4.0x volume breakout signal institutional interest, but prox_52w of 71.3 (still ~29% below the 52W high) and base_tight of 2.57 (loose, not VCP-quality) disqualify this from A-grade. RS line is NOT at new high, the critical Qullamaggie early-leader signal. The strongest disconfirming evidence: the stock is breaking out from a mid-range position, not from a tight coil near highs, and the mixed macro regime (IWM underperforming SPY by 3.8% over 20d) reduces follow-through odds for SMID momentum. However, Technology sector strength this week and the clear forward catalyst (earnings in 48 days) justify a B. Conviction: Medium.

Signal: Close above \$81.92 on volume >4.0x of 20-day avg

Vol vs Avg: 4.0x

